

Cost Accounting - I (Theory)

કુલ સમય : 30 મિનિટ

કુલ પ્રશ્નો : 40

વિદ્યાર્થીએ ટીક કરવાના પ્રશ્નો : 35

નોંધ : વિદ્યાર્થીએ માત્ર 35 પ્રશ્નો જ ટીક કરવાના રહેશે. જો વધારે ટીક કરેલ હશે તો પ્રથમ 35 પ્રશ્નો જ ગણતરીમાં લેવામાં આવશે.

- Which one of the following is not a costing method?
A. Marginal Costing B. Job Costing C. Batch Costing D. Contract Costing
- Which of the following material is called indirect material?
A. Yarn used in weaving industry B. Wood used in making wooden furniture
C. Oil used in running machinery D. Sugarcane used in making sugar
- From the following objectives, which of these objectives is not applicable to cost account?
A. To verify that cost accounting records are arithmetically accurate.
B. To see that cost accounts are prepared according to accepted principles
C. To detect any errors or frauds in cost accounts.
D. To know the total profit of the firm.
- Which of the following statements is not an objective of Cost Accounting?
A. Ascertainment of cost B. Determination of selling price
C. Determination of tax and shareholders' dividend. D. Assisting Management in decision making.
- What it is called when variable and fixed cost is included in Cost Accounts?
A. Absorption Costing B. Historical Costing C. Marginal Costing D. Standard Costing
- In which of the following enterprises "Operating Costing" is not applicable?
A. Transport Companies B. Oil refineries C. Hospitals D. Hotels
- Where costs are ascertained after they are already incurred, the method used is termed as.....
A. Uniform Costing B. Historical Costing C. Standard Costing D. Absorption Costing
- In paper industry following cost method is applied
A. Unit Cost B. Job Cost C. Process Cost D. Operating Cost
- In cement industry which method is used?
A. Operating Costing B. Process Costing C. Unit Costing D. Contract Costing
- Which cost accounting method is used in Pharma-medicine industry?
A. Job costing B. Unit costing C. Batch costing D. Contract costing
- In Cement industry Cost unit is
A. Barrel B. Job C. Cube Meter D. Tone.
- Cost unit of dairy industry is -
A. Per kilo B. Per barrel C. Per liter D. Per ton
- From the following which item is relevant to operating costing?
A. Book publication B. Vehicle service C. Brick industry D. Motor garage
- Telephone phone bill is included in which of the following expenses?
A. Fixed expenses B. Variable expenses C. Semi-Variable Expenses D. None of the above
- Which cost unit is used for Transport Company?
A. Passenger-Km / Ton-Km B. Gallon/liter C. Unit/No. D. Ton/kg.
- Which one of the following is an accounting record?
A. Bin card; B. Stores ledger; C. Bill of materials; D. All of these.
- Which of the following documents is used to record the issue of materials to production/service departments?
A. Purchase Requisition Note; B. Goods Received Note;
C. Stores Requisition Note; D. Stores Credit Note.
- Which of the following methods of stock control aims at concentrating efforts on selected items of materials?
A. Materials turnover rate; B. ABC analysis;
C. Perpetual inventory system; D. Groundnut used for groundnut oil
- Which one of the following features does not apply to the definition of "Direct Materials"?
A. Cost of direct material is a direct expense; B. Material cost is a part of 'prime cost';
C. It cannot be separately measured and identified; D. Direct material becomes a part of the finished product.
- The formula for danger level can be presented as follows:
A. Average consumption * Maximum Delivery Time for Emergency Purchase
B. Maximum Consumption * Maximum Delivery Time
C. Ordering Level - Average Consumption of average delivery period.
D. Ordering Level - Minimum Consumption of Minimum delivery period + ordering Quantity.
- Goods on which some processes have been performed, and which require further processing before being transferred into finished stock go-down is called -
A. Semi-finished Goods B. Work-in-Progress C. Raw Material D. Finished Stock
- Which of the following objectives are true for the Material Control?
A. Wherever raw material is required for production, they must be readily available.
B. To maintain the continuity of production.
C. To minimize cost of purchasing and storage.
D. All of the above.
- A is generally maintained to record all the details of purchase order.
A. Purchase order B. Order Register C. Purchase Requisition D. None of the above
- Which of the following sentence is wrong regarding Bin Card?
A. It shows only the quantity of the material. B. It shows both price and the quantity of the material.
C. Every transaction is separately recorded in Bin Card. D. It is prepared by the storekeeper.
- Where several undertakings of the same industry use the same costing principles and practices, they make use of
A. Marginal Costing B. Uniform Costing C. Historical Costing D. Absorption Costing
- Opening stock Rs. 40,000, Purchases Rs. 1,30,000, Closing stock Rs.20,000. Calculate stock turnover rate
A. 4 times B. 5 times C. 3 times D. 6 times
- "Average consumption" x "Time period for emergency purchase." - With the help of this calculation, which level can be calculated?
A. Danger level B. Minimum level C. Ordering level D. Maximum level

28. Which of the following document is used for issuing materials to the production departments?
A. Purchase Requisition Note B. Goods Received Note C. Materials Requisition Note D. None of the above
29. What would be the impact on re-order point of an increase in the order size from 2,000 to 4,000 units?
A. It would increase the Re-order point by 1,000 units. B. It would not affect the Re-order point.
C. It would increase the Re-order point by 100%. D. It would decrease the Re-order point by 100%.
30. In Store Bin Card the following cost is stated:
A. Real Price of Goods B. Cost not stated C. Average Cost D. Standard Cost
31. Which of the following statements is correct?
A. Wages paid to factory truck driver is considered "direct wages."
B. Out-workers are those who are appointed on temporary basis.
C. If overtime is paid to complete the job within a specific time limit at the request of customer, it should be debited to the job concerned.
D. The canteen expenses are debited to Costing P & L A/c.
32. Which of the following causes is not a genuine cause for "overtime work"?
A. Increase in production targets not anticipated.
B. Customer's request / pressure for urgent delivery.
C. Temporary Diversion of labour force to the inauguration ceremony arrangements of a new plant.
D. Labour shortage.
33. Labour paid for the machine maintenance is included in -
A. Prime cost B. Factory overheads C. Administrative overheads D. Selling overheads
34. When employee is given wages according to units he produces then _____ is given to him.
A. Time card B. Piece Work card C. Job Card D. None of the above
35. Profit sharing is -
A. A type of traditional wages system. B. A type of personal incentive wages system
C. A type of group incentive wages system D. None of the above
36. Which of the following statements is true?
A. Per unit variable cost will vary with the volume of production.
B. Normal idle time is unavoidable and cannot be completely eliminated.
C. The LIFO method will produce 'lower' profit and 'high' valuation of closing stock when price are rising.
D. All direct and indirect expenses are including in factory (production) cost.
37. Recess time to worker during the day is -
A. Normal unproductive time B. Abnormal unproductive time
C. Not considered as unproductive D. None of the above.
38. Bonus as per Halsey method is calculated at -
A. 20% of time wages B. 33% of time saved C. 50% of time saved D. None of these.
39. Which methods are used for segregation of Semi - Variable Overheads?
A. Simultaneous Equation Method B. High and Low Points Method
C. Trial and Error Method D. Indirect Method
40. Which method is also a repeated distribution method?
A. Average Method B. Graphic Presentation Method C. Trial and Error Method D. Indirect Method
41. Which of the following statements is not correct?
A. The total cost of indirect materials, indirect labour and indirect expenses is called "Overheads."
B. On the basis of behaviour, the overheads are classified into production overheads, administrative overheads and marketing overheads.
C. Examples of indirect labour are salary and wages of foremen, supervisor, watchman, store-keeper, salesman etc.
D. Examples of production overheads are factory rent, power, plant depreciation, supervisor's remuneration etc.
42. Which of the following statements is correct?
A. Research and Development overhead is a part of Marketing Overheads.
B. Controllable costs are those which can be controlled by the management with proper care and efficient planning.
C. Semi variable overheads vary in direct proportion with change in activity level
D. Though overheads are indirect costs, they are also identifiable with each unit produced.
43. Which of the following statements is not correct?
A. Direct wages of service departments are not to be included in the "Primary Distribution Process" since they are not considered overheads.
B. Repeated distribution method is one of the methods of dealing with "Reciprocal Services between the service departments."
C. "Trial and Error Method" is another variant of Reciprocal services method.
D. Under "Direct Method", we ignore the services provided by the service departments to each other.
44. Tools Department expenses incurred by a factory are apportioned in the ratio of:
A. Direct wages B. Equally overall production departments
C. In proportion to number of workers or number of tools issued. D. None of the above
45. From which of the following incentive wages system, worker also gets share in the profit and management.
A. Profit sharing B. Co-Partnership C. Halsey wages system D. Rowen wages system
46. In the Cost Accounts, delivery van expense are included in -
A. Factory Cost B. Administrative cost C. Selling Cost D. None of the above
47. In the Cost Accounts, cost of oil, grease is included in -
A. Direct Materials B. Indirect Materials C. Direct Labour D. Indirect Labour
48. Contribution to Employees State Insurance Scheme will be apportioned according to -
A. Direct Labour B. Number of workers C. Direct Labour hour rate D. None of the above
49. If a separate meter is not allocated, electricity cost will be apportioned according to -
A. Horse power B. Area occupied C. Direct cost D. Direct material
50. When every service department is useful to other service department, then apportionment of indirect cost cannot be done by the method of -
A. Direct redistribution method B. Step-ladder method
C. Repeated distribution method D. Simultaneous Equation method